# 2 Meaning and Nature of a Company

## 2.1 What is a company ?

The word 'company' has no strictly technical or legal meaning (*Stanley, Re* [1906] 1 Ch. 131). It may be described to imply an association of persons for some common object or objects. The purposes for which people may associate themselves are multifarious and include economic as well as non-economic objectives. But, in common parlance, the word 'company' is normally reserved for those associated for economic purposes, *i.e.*, to carry on a business for gain.

Used in the aforesaid sense, the word 'company', in simple terms, may be described to mean a voluntary association of persons who have come together for carrying on some business and sharing the profits therefrom.

Indian Law provides two main types of organisations for such associations : 'partnership' and 'company'. Although the word 'company' is colloquially applied to both, the Statute regards companies and company law as distinct from partnerships and partnership law. Partnership Law in India is codified in the Partnership Act, 1932 and Limited Liability Partnership Act, 2008. Both these legislations are based on the law of agency, each partner becoming an agent of the other(s), and it, therefore, affords a suitable framework for an association of a small body of persons having trust and confidence in each other. A more complicated form of association, with a large and fluctuating membership, requires a more elaborate organisation which ideally should confer corporate personality on the association, that is, should recognise that it constitutes a distinct legal person, subject to legal duties and entitled to legal rights separate from those of its members. This can be obtained easily and cheaply by registering an association as a company under the Companies Act, 2013.

It should be noted that the Companies Act, 2013 even allows a company to be formed and registered for the promotion of commerce, art, science, sports, religion or charity, *i.e.*, for non-economic purposes.

In this book, we shall limit our scope of study only to companies registered under the Companies Act, 2013 or under any of the earlier Companies Acts.

## 2.2 Definition of a company

The Companies Act, 2013 does not define a company in terms of its features. Section 2(*20*) of the Companies Act, 2013 defines a company to mean a company incorporated under this Act or under any previous company law. This definition does not clearly point out the meaning of a company. In order to understand the meaning of a company, let us see the definitions as given by some authorities. Some of these definitions are :—

*Lord Justice Lindley* - "A company is an association of many persons who contribute money or monies worth to a common stock and employed in some trade or business and who share the profit and loss arising therefrom. The common stock so contributed is denoted in money and is the capital of the company. The persons who contribute to it or to whom it pertains are members. The proportion of capital to which each member is entitled is his share. The shares are always transferable although the right to transfer is often more or less restricted."

*Chief Justice Marshall* - "a corporation is an artificial being, invisible, intangible, existing only in contemplation of the law. Being a mere creation of law, it possesses only the properties which the Charter of its creation confers upon it, either expressly or as incidental to its very existence."

*Prof. Haney* - "a company is an artificial person created by law, having separate entity, with a perpetual succession and common seal."

The above definitions clearly bring out the meaning of a company in terms of its features. A company to which the Companies Act applies comes into existence only when it is registered under the Act. On registration, a company becomes a body corporate, *i.e.*, it acquires a legal personality of its own, separate and distinct from its members. A registered company is, therefore, created by law and law alone can regulate, modify or dissolve it.

In *G.V. Pratap Reddy Through G.P.A. TSR Research (P.) Ltd.* v. *K.V.V.S.N. Associates* [2016] 70 taxmann.com 34 (SC), the Supreme Court of India held that where notice inviting tender (NIT) by State of Telangana required that bidder must be an individual/company, word company in NIT could only mean a company as understood under Companies Act and cannot be read to include a firm and, therefore, bid of respondent which was neither an individual nor a company but a firm was rightly rejected by State.

## 2.3 Characteristic features of a company

The most important characteristic features of a company are 'separate legal entity' of the company and in most cases 'limited liability' of its members. These and other characteristic features of a company are discussed below:—

### 2.3-1 Incorporated association

A company must be incorporated or registered under the Companies Act. Minimum number of members required for this purpose is seven in the case of a 'public company' and two in the case of a 'private company' (Section 3). However, section 3 of the Companies Act, 2013 allows formation of 'One Person Company' also.

### 2.3-2 Legal entity distinct from its members

Unlike partnership*, the company is distinct from the persons who constitute it. Hence, it is capable of enjoying rights and of being subjected to duties which are not the same as those enjoyed or borne by its members. As Lord Macnaughten puts it, "the company is at law a different person altogether from the subscribers......; and though it may be that after incorporation the business is precisely the same as it was before and the same persons are managers and the same hands receive the proceeds, the company is not in law, the agent of the subscribers or trustee for them. Nor are the subscribers as members liable, in any shape or form, except to the extent and in the manner provided by the Act." [*Solomon's* case]

The first case on the subject (even before the famous *Solomon's* case) was that of *Kondoli Tea Co. Ltd., Re* ILR [1886]. In this case certain persons transferred a tea estate to a company and claimed exemption from *ad valorem* duty on the ground that they themselves were the shareholders in the company and, therefore, it was nothing but a transfer from them in one to themselves under another name.

*Rejecting this, the Calcutta High Court observed* - "The company was a separate person, a separate body altogether from the shareholders and the transfer was as much a conveyance, a transfer of the property, as if the shareholders had been totally different persons."

If the total shareholding of a company is purchased by one person, or a group of persons acting in concert, the legal consequence is not that the company ceases to exist or undergoes a cataclysmic metamorphosis leading to its complete disappearance - *Memtec Ltd.* v. *Lunarmech* [2001] 30 SCL 55 (Delhi).

Again, by changing members of Board of directors or by changing shareholding pattern, a company does not become different legal entity - *Amit Products (India) Ltd.* v. *Chief Engineer, (O and M) Circle* [2005] 127 Comp. Cas. 443 (SC).

Limited company is a separate legal entity distinct from its shareholder. Merely because there is only one shareholder, the entities which are otherwise distinct, one is a natural person and the other is an artificial juristic person, it cannot be contended that the said entities merge and one can act for and on behalf of other - *Floating Services Ltd.* v. *MV San Fransceco Dipalola* [2004] 52 SCL 762 (Guj.).

Unlike a partnership firm, a company is a different entity and need of company in which landlord is a director cannot be said to be need of landlord for his 'own' occupation and therefore, landlord cannot file a petition under section 11(3) of the Kerala Buildings (Lease and Rent Control) Act, 1965 for the occupation of building owned personally by him for functioning of company merely because he is a director of company - *K.M. Basheer* v. *Lona Chackola* [2003] 115 Comp. Cas. 127 (Ker.); [2004] 50 SCL 19 (Ker.).

A shareholder is an investor and he will be entitled to participate in the profits of the company in which he holds shares as and when the company declares, subject to articles of association that the profits or portion thereof should be distributed by way of dividends among the shareholders, and that apart, the shareholder has got a further right to participate in the assets of the company, which would be left over

*Partnership as per the Partnership Act, 1932 and not LLP under the Limited Liability Partnership Act, 2008.

after winding up, but not in the assets as a whole - *K.S. Mothilal* v. *K.S. Kasimaris Ceramique (P.) Ltd.* [2003] 113 Comp. Cas. 562 (Mad.).

A shareholder has a limited restricted right only after an order of winding up is made, liabilities of the company discharged and then if any surplus of assets is left. Where the company is struck off from the register and dissolved as a consequence, there is no question of any particular shareholder, even the sole shareholder, making a claim to the property of the company without showing that all liabilities of the company stood discharged - *Floating Services Ltd.* v. *MV San Fransceco Dipalola* [2004] 52 SCL 762 (Guj.).

The separate legal personality of the company is the bedrock of the Company Law and piercing the 'veil' of the company is permissible only in exceptional circumstances—*S.A.E. (India) Ltd.* v. *E.I.D. Parry (India) Ltd.* [1998] 18 SCL 481 (Mad.).

Thus, a company can own property and deal with it the way it pleases. No member can either individually or jointly claim any ownership rights in the assets of the company during its existence or on its winding-up - *B.F. Guzdar* v. *CIT* [1955] 25 Comp. Cas. 1 (SC).

A company's right to sue arises when some loss is caused to the company, *i.e.*, to the property of the personality of the company, as distinct from a loss occasioned to the directors of the company. The rights of the company and the rights of its shareholders are not co-extensive. Incorporation brings into existence a legal person which develops into its own separate existence as a business or enterprise. A company, as a person separates from its members, may even sue one of its own members for libel. The publication of any statement which disparages the business of the company, defames the company at the same time. Hence, the company is entitled to sue in damages for libel or slander as the case may be - *Floating Services Ltd.* v. *M.V. San Fransceco Dipalola* [2004] 52 SCL 762 (Guj.). But, if on date of filing suit the company's name has been struck from Register of Companies and as a consequence dissolved, then it cannot initiate any legal proceedings so as to be valid in law - *Floating Services Ltd.* v. *M.V. San Fransceco Dipalola* [2004] 52 SCL 762 (Guj.).

In *Rajendra Nath Dutta* v. *Shibendra Nath Mukherjee* [1982] 52 Comp. Cas. 293 (Cal.) it was held that for any wrong done, the company must sue or be sued in its own name. It was observed that as the company is a distinct legal personality, distinct from its shareholders and/or directors, the company, if aggrieved by some wrong done to it, must sue or contrarily be sued in the name of the company. In this case, a lease deed was executed by the director of the company without the seal of the company. Later, a suit was filed by the directors and not the company to avoid lease on the ground that a new term had been fraudulently and surreptitiously included in the lease deed by the defendants. It was held that a director of the Board of directors or a managing director could not file a suit, unless it was by the company, in order to avoid any deed which admittedly was executed by one of the directors and admittedly also the company received the rent. The case as made out in the plaint was not made by the company but some of the directors of the company and the company was not even a plaintiff. If the company was aggrieved, it was the company which was to file the suit and not the directors. Therefore, the suit was held to be not maintainable.

Even where a single shareholder virtually holds the entire share capital, a company is to be differentiated from such a shareholder. In the well known case of *Solomon* v. *Solomon & Co. Ltd.* [1895-99] All. ER 33 (HL), Solomon was a prosperous leather merchant. He converted his business into a Limited Company—Solomon & Co. Ltd. The company so formed consisted of Solomon, his wife and five of his children as members. The company purchased the business of Solomon for £39,000, the purchase consideration was paid in terms of £10,000 debentures conferring a charge over the company's assets, £20,000 in fully paid £1 share each and the balance in cash. The company in less than one year ran into difficulties and liquidation proceedings commenced. The assets of the company were not even sufficient to discharge the debentures (held entirely by Solomon himself). And nothing was left for the unsecured creditors. The House of Lords unanimously held that the company had been validly constituted, since the Act only required seven members holding at least one share each. It said nothing about their being independent, or that there should be anything like a balance of power in the constitution of the company. Hence, the business belonged to the company and not to Solomon. Solomon was its agent. The company was not the agent of Solomon.

Likewise, in the case of *Lee* v. *Lee's Air Farming Ltd.* [1960] 3 All. ER 420 (PC), 'L' formed a company with a share capital of three thousand pounds, of which 2999 pounds were held by 'L'. He was also the sole governing director. In his capacity as the controlling shareholder, 'L' exercised full and unrestricted control over the affairs of the company. 'L' was a qualified pilot also and was appointed as the chief pilot of the company under the articles and drew a salary for the same. While piloting the company's plane he was killed in an accident. As the workers of the company were insured, workers were entitled for compensation on death or injury. The question was while holding the position of sole governing director, could 'L' also be an employee/worker of the company. *Held that* the mere fact that someone was the director of the company was no impediment to his entering into a contract to serve the company. If the company was a legal entity, there was no reason to change the validity of any contractual obligations which were created between the company and the deceased. The contract could not be avoided merely because 'L' was the agent of the company in its negotiations. Accordingly, 'L' was an employee of the company and, therefore, entitled to compensation claim.

So much so that even if a shareholder acquires all shares of a company, business of the company does not become his business unless the company is treated as his agent - *Gramophone & Typewriters Ltd.* v. *Stanley* [1908-10] All. ER 833 (CA).

The High Court of Delhi in *Memtac Ltd.* v. *Lunarmech* [2001] 30 SCL 55 has held that the corporate legal entity does not mutate or transfer itself or undergo a transfer with each change in its shareholders. Even if the total shareholding of a company is purchased by one person, or a group of persons in concert, the legal consequence is not that the company ceases to exist or undergoes a cataclysmic metamorphosis leading to its complete disappearance. The Court also said that, though this case was not an amalgamation, yet even in case of amalgamation, pending suits are not closed.

It is interesting to note that a company even enjoys fundamental rights similar to the natural persons. Consequently, if a fundamental right of a company is infringed, it is the company and not shareholders which can challenge infringement -

*Chiranjilal Chaudhari* v. *Union of India* [1951] 21 Comp. Cas. 33 (SC). In this case, the Supreme Court held that a company has a fundamental right to own property and in the event of any infringement of such a right it is the company itself which can bring an action and not the shareholders. It was observed that it is settled law that in order to redress a wrong done to the company, the action should *prima facie* be brought by the company itself. Although a shareholder may, in a sense, be interested to see that the company of which he is a shareholder is not deprived of its property, he cannot be heard as complainant in his own name and on his own behalf for the infringement of the fundamental right to property of the company, for, in law, his own right to property has not been infringed as he is not the owner of the company's property.

Even where a decree has been issued by the Court in respect of sums due against a company, the same cannot be enforced against its managing director. In *H.S. Sidana* v. *Rajesh Enterprises* [1993] 77 Comp. Cas. 251 (P & H), it was held that the liability to discharge the decretal amount was that of the company and not of its managing director. The executing court could proceed against the managing director only if it came to the conclusion that the managing director was personally liable to discharge the decretal amount.

Again, in *Bacha F. Guzdar* v. *The Commissioner of Income-tax, Bombay (supra)*, Mrs. Guzdar received certain amounts as dividend in respect of shares held by her in a tea company. Under the Income-tax Act, agricultural income is exempt from payment of income-tax. As income of a tea company is partly agricultural, only 40% of the company's income is treated as income from manufacture and sale and, therefore, liable to tax. Mrs. Guzdar claimed that the dividend income in her hands should be treated as agricultural income up to 60%, as in the case of a tea company, on the ground that the dividends received by shareholders represented the income of the company.

The Supreme Court held that though the income in the hands of the company was partly agricultural yet the same income when received by Mrs. Guzdar as dividend could not be regarded as agricultural income.

In *Chamundeeswari* v. *CTO, Vellore Rural* [2007] 78 SCL 151 (Mad.), it was held that a company being a legal entity by itself, any dues from company have to be recovered only from company and not from its directors.

### 2.3-3 Artificial person

The company, though a juristic person, does not possess the body of a natural being. It exists only in contemplation of law. Being an artificial person, it has to depend upon natural persons, namely, the directors, officers, shareholders, etc., for getting its various works done. However, these individuals only represent the company and accordingly whatever they do within the scope of the authority conferred upon them and in the name and on behalf of the company, they bind the company and not themselves.

### 2.3-4 Limited liability

One of the principal advantages of trading through the medium of a limited company is that the members of the company are only liable to contribute towards payment of its debts to a limited extent. *If the company is limited by shares,* the shareholder's liability to contribute is measured by the nominal value of the shares he holds, so that once he or someone who held the shares previously has paid that nominal value *plus* any premium agreed on when the shares were issued, he is no longer liable to contribute anything further. However, companies may be formed with unlimited liability of members or members may guarantee a particular amount. In such cases, liability of the members shall not be limited to the nominal or face value of their shares and the premium, if any, unpaid thereon. In the case of unlimited liability companies, members shall continue to be liable till each paisa has been paid off. In case of companies limited by guarantee, the liability of each member shall be determined by the guarantee amount, *i.e.*, he shall be liable to contribute up to the amount guaranteed by him. If the guarantee company also has share capital, the liability of each member shall be determined in terms of not only the amount guaranteed but also the amount remaining unpaid on the shares held by a member.

If a company is unable to pay its debts, its creditors may petition the Court to wind it up. If a winding-up order is made, a liquidator is appointed to administer its affairs, and if he realises insufficient amount to pay its debts by selling its assets, he calls upon its shareholders to make good the deficiency, but, of course, their liability to do so is limited to the balance of capital unpaid on their shares *plus* unpaid premiums. It may be that some of the shareholders as at the date the winding-up commences are themselves insolvent and unable to contribute the balance of unpaid capital in respect of their shares. In that case, the liquidator can recover the unpaid capital from any person who held the shares in question within a year before the winding-up began.

**2.3-4a** UNLIMITED LIABILITY OF A MEMBER OF A LIMITED LIABILITY COMPANY - Section 3A, inserted by the Companies (Amendment) Act, 2017, provides that if at any time the number of members of a company is reduced, in the case of a public company, below seven, in the case of a private company, below two, and the company carries on business for more than six months while the number of members is so reduced, every person who is a member of the company during the time that it so carries on business after those six months and is aware of the fact that it is carrying on business with less than seven members or two members, as the case may be, shall be severally liable for the payment of the whole debt.

**2.3-4b** CAN A LIMITED LIABILITY COMPANY BECOME A PARTNER OF A PARTNERSHIP FIRM ? - A company being a juristic person is capable of contracting in its own name. Since partnership, as per section 4 of the Partnership Act, 1932, is a contractual relationship between persons, there should be no objection to a partnership being created with or by a company. The only doubt that may arise in the minds of the readers is that the liability of a partner being unlimited, can a limited liability company become a partner ? To this the simple reply shall be that it is the liability of the members of a limited company which is limited and not that of the company itself. Thus, there should be no objection to a limited liability company becoming a partner of a partnership firm. However, the Department of Company Affairs[1], in this regard has opined that the objects clause must contain a facilitating provision in this regard. Thus, in the opinion of the Department of Company Affairs[1], a

1. Now Ministry of Corporate Affairs.

company may become a partner only if the Memorandum of Association thereof specifically allows it.

### 2.3-5 Separate property

Shareholders are not, in the eyes of the law, part owners of the undertaking. In India, this principle of separate property was best laid down by the Supreme Court in *Bacha F. Guzdar* v. *CIT* [1955] AIR 740. The Supreme Court held that a shareholder is not the part owner of the company or its property, he is only given certain rights by law, for example, to vote or attend meetings, or to receive dividends.

In *Macaura* v. *Northern Assurance Company Ltd.* [1925] AC 619, it was held that a member does not even have an insurable interest in the property of the company. In this case, Macaura held all except one share of a timber company. He had also advanced substantial amount to the company. He insured the company's timber in his own name. On timber being destroyed by fire, his claim was rejected for want of insurable interest. The court observed : "No shareholder has any right to any item of property owned by the company for he has no legal or equitable interest therein". ". . . the property of the company is not the property of the shareholders; it is the property of the company" - *Gramophone & Typewriter Ltd.* v. *Stanley* (*supra*).

### 2.3-6 Transferability of shares

One particular reason for the popularity of joint stock companies has been that their shares are capable of being easily transferred. The Act in section 44 echoes this feature by declaring "the shares, debentures or other interest of any member in a company shall be movable property, transferable in the manner provided by the articles of the company". A shareholder can transfer his shares to any person without the consent of other members. Articles of association, even of a public company can put certain restrictions on the transfer of shares but it cannot altogether stop it.

The Companies Act, 2013 even upholds shareholders' agreements providing for 'Right of first offer' and 'Right of first refusal' as valid even in case of a public company. What it means is that Articles of a company, whether private or public, may contain a clause that in case a member wishes to sell his shares, he will have to first offer the same to existing members. Only if they refuse to buy within the stipulated period, they can be sold to outsiders. Such a clause under the Act of 1956 could be contained only in the Articles of a private company. The facility under the Act of 2013 stands extended to public companies also.

However, a private company is required to put certain restrictions on transferability of its shares but the right to transfer is not taken away absolutely even in case of a private company.

### 2.3-7 Perpetual succession

Company being an artificial person cannot be incapacitated by illness and it does not have an allotted span of life. Being distinct from the members, the death, insolvency or retirement of its members leaves the company unaffected. Members may come and go but the company can go for ever. It continues even if all its human members are dead. Even where during the war all the members of a private company, while in general meeting were killed by a bomb, the company survived.

Not even a hydrogen bomb could have destroyed it [*K/9 Meat Suppliers (Guildford) Ltd., Re* [1966] 1 W.L.R. 1112]. "King is dead, long live the King" very aptly applies to the company form of organisation. [Here, the first 'King' is used to refer to the individual monarch and the second 'King' refers to the office of king, *i.e.*, the institution of monarchy.] In the above circumstance, the legal heirs of the deceased shareholders will become the members.

### 2.3-8 Common seal*

A company being an artificial person is not bestowed with a body of a natural being. Therefore, it does not have a mind or limbs of human being. It has to work through the agency of human beings, namely, the directors and other officers and employees of the company.

In *SICAL - CWT Distriparks Ltd.* v. *Besser Concrete Systems Ltd.* [2003] 46 SCL 196 (Mad.), it was held that it is not necessary that agreement executed on behalf of company should bear seal of Company but question whether agreement is valid or not would depend upon facts of each case.

MEANING OF 'COMMON SEAL'

The common seal is a seal used by a corporation as the symbol of its incorporation - *Wharton's Law Lexicon,* 14th edition, p. 223 [cited in *Venkataramaiya's Law Lexicon].*

As per section 22, as amended by the Companies (Amendment) Act, 2015, a company may, under its common seal, if any, through general or special power of attorney empower any person to execute deeds on its behalf in any place either in or outside India. It further provides that a deed signed by such an attorney on behalf of the company and under his seal where sealing is required, shall bind the company.

In case a company does not have a common seal, the authorisation under this sub-section shall be made by two directors or by a director and the Company Secretary, wherever the company has appointed a Company Secretary.

Again, except where otherwise expressly provided in this Act, a document or proceeding requiring authentication by a company may be signed by any key managerial personnel or an officer or employee** of the company duly authorized by the Board in this behalf, and need not be under its common seal [Section 21].

SAFE CUSTODY OF THE SEAL

As per Regulation 79(1) of Table F, the Board shall provide for the safe custody of the seal.

MANNER OF AFFIXING THE SEAL

*Companies which have adopted Table F*

Regulation 79(2) of Table F provides that 'the seal of the company shall not be affixed to any instrument except by the authority of a resolution of the Board or of a committee of the Board authorised by it in that behalf, and except in the presence of at least two directors and of the secretary or such other person as the Board may

*Use of common seal has been made optional under the Companies (Amendment) Act, 2015 [Effective from 29.5.2015]. Thus, a company may not have a common seal.

***Vide* Companies (Amendment) Act, 2017.

appoint for the purpose; and those two directors and the secretary or other person aforesaid shall sign every instrument to which the seal of the company is so affixed in their presence'.

*Companies which have not adopted Table F but made provision in the articles*

The articles will provide the manner in which the seal is to be affixed.

Where the articles require the seal on a particular document, everyone dealing with the company is bound to take notice of it.

## 2.4 Lifting the corporate veil

The chief advantage of incorporation from which all others follow is, of course, the separate legal entity of the company. In reality, however, the business of the artificial person is always carried on by, and for the benefit of, some individuals. In the ultimate analysis, some human beings are the real beneficiaries of the corporate advantages, "for while, by fiction of law, a corporation is a distinct entity yet in reality, it is an association of persons who are in fact the beneficiaries of the corporate property" - *Gallaghar* v. *Germania Brewing Company* [1893] 53 MINN. 214. It may, therefore, happen that the corporate personality of the company is used to commit frauds or improper or illegal acts. Since an artificial person is not capable of doing anything illegal or fraudulent, the facade of corporate personality might have to be removed to identify the persons who are really guilty. This is known as 'lifting the corporate veil'. Although, in general, the courts do not interfere and essentially go by the principle of separate entity as laid down in the *Solomon's* case and endorsed in many others, it may be in the interest of the members in general or in public interest to identify and punish the persons who misuse the medium of corporate personality.

In *Cotton Corporation of India Ltd.* v. *G.C. Odusumathd* [1999] 22 SCL 228 (Kar.), the Karnataka High Court has held that the lifting of the corporate veil of a company as a rule is not permissible in law unless otherwise provided by clear words of the Statute or by very compelling reasons such as where fraud is needed to be prevented or trading with enemy company is sought to be defeated.

As to when the corporate veil shall be lifted, the observations of the Supreme Court in *Life Insurance Corporation of India* v. *Escorts Ltd.* [1986] 59 Comp. Cas. 548 is worth noting. "While it is firmly established ever since in *Solomon* v. *Solomon & Co. Ltd.* [1897] AC 22 that a company is an independent and legal personality distinct from the individuals who are its members, it has since been held that the corporate veil may be lifted, the corporate personality may be ignored and the individual members recognised for who they are in certain exceptional circumstances. Generally, and broadly speaking the corporate veil may be lifted where the statute itself contemplates lifting the veil or fraud or improper conduct is intended to be prevented, or a taxing statute or a beneficent statute is sought to be evaded or where associated companies are inextricably connected as to be, in reality, part of one concern.

It is neither necessary nor desirable to enumerate the classes of cases where lifting the veil is permissible, since that must necessarily depend on the relevant statutory or other provisions, the object sought to be achieved, the impugned conduct, the involvement of the element of public interest, the effect on parties who may be affected, etc."

Again, in *State of U.P.* v. *Renusagar Power Co.* [1991] 70 Comp. Cas. 127, the Supreme Court observed:

The concept of lifting the corporate veil is a changing concept. The veil of corporate personality, even though not lifted sometimes, is becoming more and more transparent in modern jurisprudence. It is high time to reiterate that, in the expanding horizon of modern jurisprudence, lifting of the corporate veil is permissible, its frontiers are unlimited. But it must depend primarily on the realities of the situation.

Delhi High Court in *Prem Lata Bhatia* v. *UOI* [2006] 71 SCL 142 has in a case involving renting of government controlled premise to an individual held that use of that premise by an individual using corporate form with her spouse as the only co-shareholder did not amount to violation of renting terms on piercing the corporate veil [Also *see, Saurav Exports* v. *Blaze Finlease and Credits (P.) Ltd.* [2006] 72 SCL 321 (Delhi), it is a case of private company formed and assisted by family members taking deposits from others and not repaying the same].

The circumstances under which the courts may lift the corporate veil may broadly be grouped under the following two heads:—

(A) Under statutory provisions.

(B) Under judicial interpretations.

A. *UNDER STATUTORY PROVISIONS* - The veil of corporate personality may be lifted in certain cases or pierced as per express provisions of the Act. In other words, the advantage of 'distinct entity' and 'limited liability' may not be allowed to be enjoyed in certain circumstances. Such cases are :

The Companies Act, 2013 itself provides for certain cases in which the directors or members of the company may be held personally liable. In such cases, while the separate entity of the company is maintained, the directors or members are held personally liable along with the company. These cases are as follows:

**2.4-1a** MIS-STATEMENTS IN PROSPECTUS [SECTIONS 34 & 35] - In case of misrepresentation in a prospectus, the company and every director, promoter, expert and every other person, who authorised such issue of prospectus shall be liable to compensate the loss or damage to every person who subscribed for shares on the faith of untrue statement (Sec. 35).

Besides, these persons may be punished with imprisonment for a term which shall not be less than six months but which may extend to ten years and shall also be liable to fine which shall not be less than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud (Section 34 and Section 447 read together). However, a person may escape the aforesaid conviction if he proves that such statement or omission was immaterial or that he had reasonable grounds to believe, and did up to the time of issue of the prospectus believe, that the statement was true or the inclusion or omission was necessary.

**2.4-1b** FAILURE TO RETURN APPLICATION MONEY [SEC. 39] - In case of issue of shares by a company to the public, if minimum subscription, as stated in the prospectus has not been received within 30 days of the issue of prospectus or such other period as may be specified by the SEBI, then as per Rule 11 of **Companies (Prospectus and Allotment of Securities) Rules, 2014,** the application money shall be repaid within a period of fifteen days from the closure of the issue and if any such money is not so repaid within such period, the directors of the company who are officers in default shall jointly and severally be liable to repay that money with interest at the rate of fifteen percent per annum.

In case of default, the company and its officer who is in default shall be liable to a penalty of one thousand rupees for each day during which such default continues or one lakh rupees, whichever is less.

**2.4-1c** MISDESCRIPTION OF NAME [SEC. 12] - *As per section 12, a company shall* have its name printed on hundies, promissory notes, bills of exchange and such other documents as may be prescribed. Thus, where an officer of a company signs on behalf of the company any contract, bill of exchange, hundi, promissory note, cheque or order for money, such person shall be personally liable to the holder if the name of the company is either not mentioned, or is not properly mentioned. Accordingly, where on a cheque, the name of a company was stated as 'LR agencies limited' whereas the real name of the company was 'L&R Agencies Ltd.' the signatory directors were held personally liable [*Hendon* v. *Adelman* (1973) New Delhi LR 637]. Besides, the company and its officer who is in default shall be liable to a penalty of one thousand rupees for each day during which such default continues or one lakh rupees, whichever is less.

**2.4-1d** PUNISHMENT FOR CONTRAVENTION OF SECTION 73 OR SECTION 76 [SECTION 76A][2]- Where a company accepts or invites or allows or causes any other person to accept or invite on its behalf any deposit in contravention of the manner or the conditions prescribed under section 73 or section 76 or rules made thereunder or if a company fails to repay the deposit or part thereof or any interest due thereon within the time specified under section 73 or section 76 or rules made thereunder or such further time as may be allowed by the Tribunal under section 73,besides the company that shall be punishable with fine which shall not be less than one crore rupees but which may extend to ten crore rupees; every officer of the company who is in default shall be punishable with imprisonment which may extend to seven years or with fine which shall not be less than twenty-five lakh rupees but which may extend to two crore rupees, or with both. Moreover, if it is proved that the officer of the company who is in default, has contravened such provisions knowingly or wilfully with the intention to deceive the company or its shareholders or depositors or creditors or tax authorities, he shall also be liable for action under section 447.

**2.4-1e** FOR FACILITATING THE TASK OF AN INSPECTOR APPOINTED UNDER SECTION 210 OR 212 OR 213 TO INVESTIGATE THE AFFAIRS OF THE COMPANY [SEC. 219] - *Section 219 provides that* if an inspector appointed under section 210 or section 212 or section 213 to investigate into the affairs of a company considers it necessary for the purposes of the investigation, to investigate also the affairs of—

(*a*) any other body corporate which is, or has at any relevant time been the company's subsidiary company or holding company, or a subsidiary company of its holding company;

2. Section 76A has been inserted vide the Companies (Amendment) Act, 2015.

(*b*) any other body corporate which is, or has at any relevant time been managed by any person as managing director or as manager, who is, or was, at the relevant time, the managing director or the manager of the company;

(*c*) any other body corporate whose Board of Directors comprises nominees of the company or is accustomed to act in accordance with the directions or instructions of the company or any of its directors; or

(*d*) any person who is or has at any relevant time been the company's managing director or manager or employee,

he shall, subject to the prior approval of the Central Government, investigate into and report on the affairs of the other body corporate or of the managing director or manager, in so far as he considers that the results of his investigation are relevant to the investigation of the affairs of the company for which he is appointed.

**2.4-1f** FOR INVESTIGATION OF OWNERSHIP OF COMPANY [SEC. 216] - Under section 216, the Central Government may appoint one or more inspectors to investigate and report on the membership of any company for the purpose of determining the true persons who are financially interested in the company and who control its policy or materially influence it.

**2.4-1g** FRAUDULENT CONDUCT [SEC. 339] - Where in the case of winding-up of a company it appears that any business of the company has been carried on with intent to defraud creditors of the company or any other person, or for any fraudulent purpose, those who are knowingly parties to such conduct of business may, if the Tribunal thinks it proper so to do, be made personally liable without any limitation as to liability for all or any debts or other liabilities of the company. Liability under this section[3] may be imposed only if it is proved that the business of the company has been carried on with a view to defraud the creditors - *Re. Augustus Barnett & Sons Ltd.* [1986] B CLC 170 Ch. D.

**2.4-1h** LIABILITY FOR ULTRA VIRES ACTS - Directors and other officers of a company will be personally liable for all those acts which they have done on behalf of a company if the same are *ultra vires* the company.

The directors of a railway company which had fully exhausted its borrowing powers advertised for money to be lent on the security of debentures, 'W' lent £500 upon the faith of advertisement and received a debenture. *Held,* the debenture was void but 'W' could sue the directors for breach of warranty of authority (since they had by advertisement warranted that they had the power to borrow which in fact they did not have) - *Weeks* v. *Propert* [1873] L.R. 8 C.P. 427.

**2.4-1i** LIABILITY UNDER OTHER STATUTES - Besides the Act, directors and other officers of the company may be held personally liable under the provisions of other statutes. For example, under the Income-tax Act, where any private company is wound-up and if tax arrears of the company in respect of any income of any previous year cannot be recovered, every person who was director of that company at any time during the relevant previous year shall be jointly and severally liable for payment of tax. Similarly, under Foreign Exchange Management Act, 1999, the directors and other officers may be proceeded individually or jointly for violations of the Act.

3. The corresponding section under the Companies Act, 1956 was section 542.

B. *UNDER JUDICIAL INTERPRETATIONS* - It is difficult to deal with all the cases in which courts have lifted or might lift the corporate veil. Some of the cases where the veil of incorporation was lifted by judicial decisions may be discussed to form an idea as to the kind of circumstances under which the facade of corporate personality will be removed or the persons behind the corporate entity identified and penalised, if necessary.

1. *Protection of revenue* - In *Sir Dinshaw Maneckjee Petit, Re* AIR 1927 Bom. 371, the assessee was a millionaire earning huge income by way of dividend and interest. He formed four private companies and transferred his investments to each of these companies in exchange of their shares. The dividends and interest income received by the company was handed back to Sir Dinshaw as a pretended loan. It was held that the company was formed by the assessee purely and simply as a means of avoiding tax and company was nothing more than assessee himself.

It did no business, but was created simply as a legal entity to ostensibly receive the dividends and interest and to hand them over to the assessee as pretended loans.

Similarly in *CIT* v. *Sri Meenakshi Mills Ltd.* AIR 1967 SC 819, where the veil had been used for evasion of taxes and duties, the court upheld the piercing of the veil to look at the real transaction.

2. *Prevention of fraud or improper conduct* - Where the medium of a company has been used for committing fraud or improper conduct, courts have lifted the veil and looked at the realities of the situation. In *Gilford Motor Company* v. *Horne* [1933] 1 CH 935, 'Horne' had been employed by the company under an agreement that he shall not solicit the customers of the company or compete with it for a certain period of time after leaving its employment. After ceasing to be employed by the plaintiff, Horne formed a company which carried on a competing business and caused the whole of its shares to be allotted to his wife and an employee of the company, who were appointed to be its directors. It was held that since the defendant (Horne) in fact controlled the company, its formation was a mere 'cloak or sham' to enable him to break his agreement with the plaintiff. Accordingly, an injunction was issued against him and against the company he had formed restraining them from soliciting the plaintiff's customers.

Similarly, in *Jones* v. *Lipman* [1962] 1 All. ER 442, seller of a piece of land sought to evade specific performance of a contract for the sale of the land by conveying the land to a company which he formed for the purpose. Initially the company was formed by third parties, and the vendor purchased the whole of its shares from them, had the shares registered in the name of himself and a nominee, and had himself and the nominee appointed directors. It was held that specific performance of the contract cannot be resisted by the vendor by conveyancing of the land to the company which was a mere 'facade' for avoidance of the contract of sale and specific performance of the contract was therefore ordered against the vendor and the company.

3. *Determination of the enemy character of a company* - Company being an artificial person cannot be an enemy or friend. However, during war, it may become necessary to lift the corporate veil and see the persons behind as to whether they are enemies or friends. It is because, though a company enjoys a distinct entity, its affairs are essentially run by individuals. In *Daimler Company Ltd.* v. *Continental Tyre & Rubber Co. (Great Britain) Ltd.* [1916] 2 AC 307, a company was incorporated

in London for the purpose of selling tyres manufactured in Germany by a German company. Its majority shareholders and all the directors were Germans. On declaration of war between England and Germany in 1914, it was held that since both the decision-making bodies, the Board of directors and the general body of shareholders were controlled by Germans, the company was a German company and hence, an enemy company. Accordingly, the suit filed by the company to recover a trade debt was dismissed on the ground that such payment would amount to trading with enemy.

4. *Formation of subsidiaries to act as an agent* - In *Merchandise Transport Limited* v. *British Transport Commission* [1982] 2 QB 173, a transport company wanted to obtain licences for its vehicles, but it could not do so if it made the application in its own name. It, therefore, formed a subsidiary company and the application for licences was made in the name of the subsidiary. The vehicles were to be transferred to the subsidiary. Held, the parent and the subsidiary company were one commercial unit and the application for licences was rejected. In an Advance Ruling issued by the Authority for Advance Rulings, it has been stated that when a U.S. based company allows stock option to the employees of its wholly owned Indian subsidiary at a predetermined price lower than the market price of the concerned security, it amounts to be monetary benefit given by the subsidiary, hence taxable as salary. Here though the offer is from the U.S. based holding company, by piercing the corporate veil of that entity, it is the Indian subsidiary which stands out as the businesses of both the entities are to be seen as only one [*Advance Rulings Petition No. 15 of 1998, In re* [1999] 102 Taxman 74 (AAR)].

Similarly, in the *State of U.P.* v. *Renusagar Power Co.* [1991] 70 Comp. Cas. 127 the Supreme Court held that where the holding company holds 100% shares in a subsidiary company and the latter is created only for the purpose of the holding company, corporate veil can be lifted.

Again, where small scale industries were given certain exemptions and the company owning an industry was not controlled by any group of persons or companies, it was held that it was permissible to lift the veil of the company to see whether it was the subsidiary of another company and, therefore, not entitled to the proposed exemptions - *Inalsa Ltd.* v. *Union of India* [1996] 87 Comp. Cas. 599 (Delhi).

In *Smith, Stone and Knight* v. *Birmingham Corpn.* [1939] 4 All ER 116 (KB), the following criteria were laid down for determining whether the business of the subsidiary company is the business of the parent company :

(*i*) Were the profits treated as the profits of the parent company ?

(*ii*) Were the persons conducting the business appointed by the parent company ?

(*iii*) Was the parent company the head and brain of the trading venture ?

(*iv*) Did the parent company govern the adventure, decide what should be done and what capital should be embarked on the venture ?

(*v*) Did the parent company make the profits by its skill and direction ?

(*vi*) Was the parent company in effectual and constant control ?

The mere fact that the holding company has a subsidiary company does not imply that whenever claims are made against the subsidiary company, the corporate veil is to be pierced in order to make the holding company liable for the debts incurred by the subsidiary company. The normal rule is that independent legal personality of the company is to be respected and preserved. Holding company shall, however, be liable if it offers guarantee for repayment of the debts borrowed by its subsidiary. But, the liability in such a case arises because of 'guarantee' and not the 'holding - subsidiary' relationship - *S.A.E. (India) Ltd.* v. *E.I.D. Parry (India) Ltd.* [1998] 18 SCL 481 (Mad.).

In *J.B. Exports Ltd.* v. *BSES Rajdhani Power Ltd.* [2007] 73 SCL 133 (Delhi), appellant No. 1 company acquired entire share capital of appellant No. 2 company, which was a registered consumer of electricity connection granted at its factory premises and on finding that electricity was being consumed by appellant No. 1, Electricity Board passed impugned order demanding sub-letting charges from appellant No. 2, Court *held that* by applying principle of piercing of corporate veil, both companies appeared to be same entity and, therefore, there was no question of sub-letting.

5. *Where a company acts as an agent for its shareholders* - In *Smith, Stone and Knight* v. *Birmingham Corpn.* [1939] 4 All ER 116 (KB), it was observed, that it is well settled that the mere fact that a man holds all the shares in a company does not make the business carried on by that company his business, nor does it make the company his agent for the carrying on of the business. This proposition is just as true if the shareholder is itself a limited company. It is also well settled that there may be such an arrangement between the shareholders and a company as will constitute the company the shareholders' agent for the purpose of carrying on the business and make the business, the business of the shareholders. Thus, where an arrangement, as aforesaid, prevails, the individual shareholders may be identified for fixing their liability.

6. *In case of economic offences* - In *Santanu Ray* v. *Union of India* [1989] 65 Comp. Cas. 196 (Delhi), it was held that in case of economic offences a court is entitled to lift the veil of corporate entity and pay regard to the economic realities behind the legal facade. In this case, it was alleged that the company had violated section 11(*a*) of the Central Excises and Salt Act, 1944. The Court held that the veil of the corporate entity could be lifted by adjudicating authorities so as to determine as to which of the directors was concerned with the evasion of the excise duty by reason of fraud, concealment or wilful mis-statement or suppression of facts or contravention of the provisions of the Act and the rules made thereunder.

7. *Where company is used to avoid welfare legislation* - Where it was found that the sole purpose for the formation of the new company was to use it as a device to reduce the amount to be paid by way of bonus to workmen, the Supreme Court upheld the piercing of the veil to look at the real transaction—*Workmen of Associated Rubber Industry Ltd.* v. *Associated Rubber Industry Ltd.* [1986] 59 Comp. Cas. 134. The facts of the referred case are quite interesting and may be noted with advantage. 'A limited' had purchased shares of 'B limited' by investing a sum of Rs. 4,50,000. It was getting annual dividends in respect of these shares and the amount so received was shown in the profit and loss account of the company year after year. It was taken into account for the purpose of calculating the bonus payable to workmen of the company. Sometime in the course of the year 1968, the company transferred the shares of 'B limited', held by it to 'C limited', a subsidiary company wholly owned by it. 'C limited' had no other capital except the shares of

'B limited' transferred to it by the 'A limited'. It had no other business or source of income whatsoever except receiving the dividend on the shares of 'B limited'. The dividend income from the shares of 'B limited' was not transferred to the 'A limited' and, therefore, it did not find place in the profit and loss account of the company with the result that available surplus for the purposes of payment of bonus to the workmen of the company got reduced. On an industrial dispute raised by the workmen for including the dividend in the profits of 'A limited', the Industrial Tribunal and later the High Court held that 'A limited' and 'C limited' were two independent companies with separate legal existence and, therefore, the profits made by 'C limited' could not be treated as profits of 'A limited'.

The Supreme Court, however, held that it was true that in law 'A limited' and 'C limited' were distinct legal entities having separate existence, but, that was not an end of the matter. Here the new company was created as wholly owned by the principal company with no assets of its own except those transferred to it by the principal company, with no business or income of its own except receiving dividends from shares transferred to it by the principal company and served no purpose whatsoever except to reduce the gross profits of the principal company. These facts spoke for themselves. There could not be a more direct evidence that the second company was formed as a device to reduce the gross profits of the principal company for whatever purpose. An obvious purpose that was served and which stared one in the face was to reduce the amount to be paid by way of bonus to workmen. The amount of dividend received by 'C limited' was, therefore, to be taken into account in computing profits of 'A Ltd.' available for bonus.

8. *Where company is used for some illegal or improper purpose* - Courts have shown themselves willing to lift the veil where device of incorporation is used for some illegal or improper purpose. In *PNB Finance Limited* v. *Shital Prasad Jain* [1983] 54 Comp. Cas. 66 (Delhi), pursuant to a request made by 'S', the financial advisor of a financing public limited company, granted a loan of Rs. 50 lakhs to 'S' on his representation that he would utilise the said amount for the purchase of immovable property in Delhi and the directors of the plaintiff company sanctioned the loan, *inter alia*, on the condition that the loan would be secured by deposit of the title deeds of the property. A promissory note with regard to the same was also executed by 'S'. However, 'S' did not pay anything either towards the principal amount or towards interest. Instead, he diverted the amount of the loan to three public limited companies floated by him and his son. These companies, in turn, applied the amount of loans so diverted in purchasing immovable properties at New Delhi. The question that arose was whether the defendants ('S' his son and the three public limited companies) could be restrained from alienating the properties purchased.

The court granted relief to the plaintiff by restraining the defendants from any alienation, transfer, disposal or encumbering of the properties in question.

9. *To punish for contempt of Court* - In *Jyoti Limited* v. *Kanwaljit Kaur Bhasin* [1987] 62 Comp. Cas. 626 (Delhi), a firm of two partners agreed to sell two floors to parties but cancelled the agreement. Litigation followed and the High Court restrained the firm from selling the property. In the meantime, a private company was floated by the two partners who being the only two shareholders became the Chairman and the Managing Director respectively and the property was transferred to the company. In spite of the High Court's restraint order the company sold off the two

floors. In answering to the contempt proceedings, the partners of the firm took the plea that the sale had been made by the company and therefore the firm had not disobeyed the court's order.

*Held* that, once the corporate veil is lifted, it is crystal clear that the orders of the court were disobeyed by the respondents. The company was admittedly promoted by the respondents alone. They only were its shareholders and directors. One of the respondents was its Chairman and the other respondent, Managing Director. The entire interest in the company was of the respondents. Thus, in reality the order of the court was disobeyed by the respondent.

10. *For determination of technical competence of the company* - The Supreme Court in one of its recent decisions has delivered an interesting and very significant judgment with regard to lifting of corporate veil. The case in reference is that of *New Horizons Ltd.* v. *Union of India*[4] [1995] 1 Comp. LJ 100 (SC); [1997] 27 CLA 56 (SC).

The facts of the case are as follows :

The Department of Telecommunications, Telecom District, Hyderabad invited sealed tenders of printing, binding and supply of telephone directories; the stipulation being tenderer should have had experience in supplying such directories to telephone systems with capacity to more than 50,000 lines. The appellant New Horizons Ltd. (NHL), a joint-venture company, and the Respondent No. 4 and others submitted their tenders, which were considered by the Tender Evaluation Committee. The offer of Respondent No. 4 was accepted. NHL challenged the decision in the High Court stating that its offer could not be rejected on the hyper-technical plea that NHL itself had no experience. NHL pleaded that its both Indian and the foreign collaborators had experience in the related field. The High Court dismissed NHL's plea on the ground that NHL itself had no experience. The question before the Supreme Court was whether on facts, the telephone authorities were justified in not considering the tender submitted by NHL on the ground that they did not fulfil the conditions about eligibility for the award of the contract. The Supreme Court held that lifting of the corporate veil was necessary and for the purpose of considering whether NHL had the requisite experience as contemplated in the tender document, the experience of the constituents of the NHL had also to be taken into consideration. The said experience of NHL had been ignored by the Tender Evaluation Committee on an erroneous view. Piercing through the veil covering NHL the Court revealed that both the groups of joint venture had contributed towards the resources of the venture in the form of machines, equipment and expertise. Thus, in respect of such a joint venture company, the experience of the company would include the experience of the constituents of the joint venture as well.

The Supreme Court held that the Tender Evaluation Committee's refusal to consider the tender of NHL and the consequent acceptance of the tender of Respondent No. 4 suffered from the vice of arbitrariness and irrationality.

11. *Where company is a mere sham or cloak* - In *Delhi Development Authority* v. *Skipper Construction Company (P.) Ltd.* [1996] 4 SCALE 202, the Supreme Court held that the fact that the director and members of his family had created several

4. Also see, *Progressive Aluminium Ltd.* v. *ROC* [1997] 26 CLA 277 (AP).

corporate bodies did not prevent the court from treating all of them as one entity belonging to and controlled by the director and his family if it was found that these corporate bodies were mere cloaks and that the device of incorporation was really a ploy adopted for committing illegalities and/or to defraud people.

**Case Law: *State of Rajasthan and others* v. *Gotan Lime Stone Khanji Udyog Pvt. Ltd.* and another AIR 2016 SUPREME COURT 510**

**Facts of the Case**

In the instant case the lessee was a partnership firm and wished to transfer the mining lease to a private limited company which was mere change of form of its own business by converting itself from a partnership firm into a private limited company. The partners of the firm and Directors of the company were the same and on transfer, no benefit, price or premium was taken from the transferee. The lease was 40 years old and there was no impediment in the transfer. The transferee will comply with the rules and regulations. The transfer was allowed on that basis. After seeking the said permission, the newly formed private limited company instead of operating the mining lease itself sold its entire shareholding to another company allegedly for Rs.160 crores which is alleged to be the sale price of mining lease. Held, while discerning true nature of the entire transaction, Court has not to merely see the form of the transaction which is of sale of shares but also the substance, which is the private sale of mining rights avoiding legal bar against transfer of sale rights circumventing the mandatory consent of the competent authority. Consent of competent authority is not a formality and transfer without consent is void. The minerals vest in the State and mining lease can be operated strictly within the statutory framework.

**Decision**

The Supreme Court held that the doctrine of lifting the veil can be invoked if the public interest so requires or if there is allegation of violation of law by using the device of a corporate entity. In the instant case, the corporate entity has been used to conceal the real transaction of transfer of mining lease to a third party for consideration without statutory consent by terming it as two separate transactions - the first of transforming a partnership into a company and the second of sale of entire shareholding to another company. The real transaction is sale of mining lease which is not legally permitted. Thus, the doctrine of lifting the veil has to be applied to give effect to law which is sought to be circumvented.

12. *Fraudulent scheme of arrangement or compromise* - Corporate veil may be pierced while considering a scheme of arrangement or compromise under section 391 of the Act if the Court is satisfied that the Scheme proposed is fraudulent and has a different purpose than the one professed - *In re, Bedrock Ltd.* [1998] 17 SCL 385 (Bom.).

13. *Conversion of sole proprietorship into a company* - If an individual takes a premises on rent and converts his sole proprietorship concern into a private limited company in which he has controlling interest, he cannot be evicted from the premises on ground that he has handed over possession of property to anyone else, as the same person remains in possession though technically the company now runs the business - *Prem Lata Bhatia* v. *Union of India* [2006] 71 SCL 142 (Delhi).

## 2.5 Advantages of incorporation

As compared to other types of associations, an incorporated company has the following advantages :—

1. *Independent legal entity* - Unlike a partnership firm which has no existence apart from its members, a company is a distinct legal or juristic person independent of its members. Section 9 of the Companies Act, 2013 provides that from the date of incorporation, the subscribers to the memorandum and other members shall be a body corporate by the name contained in the memorandum, capable of performing all the functions of an incorporated company and having perpetual succession and a common seal.

The advantage derived from the separate legal entity is that a company remains free from the hazards of all personal misfortunes of its members.

2. *Limited liability* - A company can be formed with the liability of its members limited. In the case of limited companies, no member is bound to contribute anything more than the nominal value of the shares held by him or/and the amount guaranteed by him. This advantage of limiting the liability is one of the principal advantages of forming a company and enables the enterprising business people to embark upon business projects uninhibited by the thought of involving his entire present and future wealth.

3. *Perpetual succession - An incorporated company has perpetual succession [Sec. 9].* Notwithstanding any change in its members, the company will be the same entity with the same privileges and immunities, estate and possessions. "Members may come and members may go but the company can go on for ever". The death or insolvency of individual members does not in any way, affect the existence or continuity of the company. It can continue to exist indefinitely till it is wound up in accordance with the provisions of the Companies Act. This is a distinct advantage over and above, a partnership where the death, insolvency, insanity or separation of members, *i.e.*, partners will not only have a bearing on its business but may even result in dissolution of the firm.

4. *Transferability of shares* - Section 44 of the Act provides that the shares, debentures or other interests of any member in a company shall be movable property, transferable in the manner provided by the articles of the company. The facility of free transferability of shares as enshrined under section 44 encourages investment of funds in shares of joint stock companies. Raising of funds for projects requiring heavy investments is, therefore, facilitated through the medium of company form of organisation.

5. *Infinite membership* - Another advantage of incorporation is that there is no limit to the maximum number of members in a public company. Thereby very large number of people including juristic ones can combine and contribute to the formation and functioning of the company. An off shoot of this is the easy access for people not in the business background or possessing great economic resources to be a co-shareholder in the business of the company.

6. *Mobilisation of huge resources* - Because of the participation of unlimited number of people in the form of business venture, huge amounts can be collected from them

to undertake all sorts of business ventures including ones requiring huge investment that no individual or a small collection of people can provide.

7. *Separate property* - The property of the company is not the property of the shareholders; it is the property of the company - *Gramophone & Typewriter Co.* v. *Stanley* [1906] K.B. 856. The Madras High Court in *R.T. Perumal* v. *H. John Deavin* AIR 1960 Mad. 43, observed that "no member can claim himself to be the owner of the company's property during its existence or in its winding-up". Thus, no member or director can use the properties of the company to his own personal advantage. In the eyes of law, even a member holding majority shares or a managing director of a company is held liable for criminal misappropriation of the funds or property of the company, if he unauthorisedly takes it away and uses it for his personal purposes.

8. *Ease in control and management* - The company law provides for the management of companies through the elected representatives of the members known as directors and, therefore, no shareholder is to worry about the management of the company. The directors may include professionals thereby enabling the company to be managed professionally and more efficiently.

## 2.6 Disadvantages of incorporation

There are, however, certain disadvantages and inconveniences with incorporated bodies. Some of these disadvantages are :—

(*i*) *Formality and expense* - Incorporation of a company involves a number of legal formalities and the consequent expenses that go with it. The affairs and working of a company have to be conducted strictly in accordance with the applicable legal provisions, non-compliance of which entails penal consequence. Various returns and documents are required to be filed with the Registrar of Companies. Certain books and registers are compulsorily required to be maintained. Approvals and sanctions of the Company Law Board, the Central Government, the Court, the Registrar of Companies or other appropriate authority, as the case may be, are required to be obtained for certain corporate activities. Meetings of the directors or shareholders are to be held and conducted in accordance with the provisions of the Act.

Other forms of business organisations are comparatively free from these legal compulsions and formalities.

(*ii*) *Loss of privacy* - Another disadvantage of incorporation is loss of privacy. Various returns, resolutions and documents are required to be filed with the Registrar of Companies. The office of the Registrar of Companies is a public office. Any member of the public can, on payment of prescribed fees, inspect any of the documents filed by a public company with the Registrar of Companies. Even in the case of private companies the same exposure is there but in a restricted scale.

(*iii*) *Divorce of control from ownership* - Members of a company cannot have as effective and intimate control over its working as in partnership or proprietary business. This is particularly so where the membership of the company is too large. The company functions through the representatives of the shareholders - the directors. Members, therefore, do not have any active and complete control over the company's working, as the partners may have over the firm's affairs or a sole proprietor may have in his business.

(*iv*) *Detailed winding-up procedure* - The Companies Act provides elaborate and detailed procedure of winding-up of companies which is more expensive and time consuming than what is applicable to other forms of business organisation.

(*v*) *Control by few* - Few people with business background or with enterprising character can effectively control the entire business and too huge corporate economic resources with a disproportionately low percentage of financial stake in the company. *For example,* even with a holding of not more than 5% of the share capital of a company such people can use the cent per cent resources of the company with immeasurable financial benefit. It also has a snowballing effect of such people spreading their economic and control net to build huge business empires for them and their family members.

(*vi*) *Greater public accountability* - Any company and in particular a public company has much greater public accountability inasmuch as, it cannot act against public interest. As and when public interest will come in conflict with the corporate working, intervention by regulatory authorities will come.

(*vii*) *Possibility of frauds* - Since the control of economic resources is in few hands and in spite of public accountability, it is possible for those few to defraud unsuspecting other people who have contributed funds to the company either as shareholder or debenture holder or creditor or lender by diverting funds of the company to their private channels leaving the company high and dry. There are ample examples of this. By the time the regulatory authorities or other common stockholders come to realise the matter, the damage is already done and cleverness of the manipulator often makes it difficult to fix responsibilities and bring to book the wrong doers.

## 2.7 Company vis-a-vis Body corporate

Body corporate means an association of persons which has been incorporated under some statute having perpetual succession, a common seal and having a legal entity different from the members constituting it. Sub-section (11) of section 2 of the Act defines the expression 'body corporate' as follows :

> "'Body corporate' or 'corporation' includes a company incorporated outside India but does not include—
>
> (*a*) a co-operative society registered under any law relating to co-operative societies;
>
> (*b*) any other body corporate not being a company which the Central Government may, by notification in the Official Gazette, specify in this behalf."

It will further include all public financial institutions mentioned in section 2(72) as well as the nationalised banks incorporated under section 3, sub-section (4) of the Banking Companies (Acquisition & Transfer of Undertakings) Act.

It may be noted that under clause (*b*) of sub-section (11) of section 2, the Central Government has reserved the right to declare any association of persons as a body corporate. Accordingly, Oil & Natural Gas Commission (ONGC), like many others, has been declared as a body corporate.

Thus, the expression 'body corporate' is not equivalent to the words 'incorporated company'. An incorporated company is a body corporate but many bodies corporate are not incorporated companies - *Madras Central Urban Bank Ltd.* v. *Corporation of Madras* [1932] 2 Comp. Cas. 328 (Mad.).

The expression 'corporation' or 'body corporate' is, thus, wider than the word company.

### 2.7-1 Is a society registered under the Societies Registration Act, a body corporate?

A society registered under the Societies Registration Act has been held by the Supreme Court in *Board of Trustees Ayurvedic & Unani Tibia College, Delhi* v. *State of Delhi* AIR 1962 SC 458 not to come within the term 'body corporate' under this Act, though such a society is a legal person capable of holding property and becoming a member of a company.

Similar view has been held by the Department of Company Law administration* in its communication No. 8/26/2(7)/63/PR dated 13th June, 1962 addressed to Federation of Indian Chambers of Commerce. The Department observed as follows:

Generally speaking, this Department would consider that a body which has been or is incorporated under some statute and which has a perpetual succession and a common seal and is a legal entity apart from the members constituting it, will come within the definition of the term 'body corporate'. The term will not, however, include a society registered under the Societies Registration Act, 1860, or any of the bodies which have been specifically excluded by clauses (*a*), (*b*) and (*c*) of section 2, sub-section (7).

### 2.7-2 Corporation sole

A **'corporation sole'** is a body corporate constituted in a single person who, in right of some office or function, has corporate status. Examples of 'corporation sole' are to be found in perpetual offices such as the President, Governors, Crown, Ministers, and a public trustee.

## 2.8 Is company a citizen

Although a company is regarded as a legal person (though artificial), it is not a citizen either under the Constitution of India or the Citizenship Act, 1955 - *Heavy Engineering Mazdoor Union* v. *State of Bihar* [1969] 39 Comp. Cas. 905 (SC). The Supreme Court of India in *State Trading Corporation of India Ltd.* v. *CTO*[1963] 33 Comp. Cas. 1057 held that a Corporation (including a Company) cannot have the status of a citizen under the Constitution of India. Thus, under the Constitution, a company has no fundamental rights which are expressly available to citizens only. It can, however, claim the protection of those fundamental rights which are available to all persons, whether citizens or not, *for example*, the right to own property.

*Now Ministry of Corporate affairs.

In *Narasaraopeta Electric Corpn. Ltd.* v. *State of Madras* [1951] 21 Comp. Cas. 297 (Mad.), the High Court observed that a company incorporated under the Indian Companies Act does not satisfy the requirements of the definition of 'citizen' in Article 5 of the Constitution and therefore is not a citizen.

Similar view was upheld by the Supreme Court in the case of *State Trading Corporation of India Ltd.* v. *CTO* [1963] 33 Comp. Cas. 1057. The Supreme Court, in this case, observed that the rights of citizenship and the rights flowing from the nationality or domicile of a Corporation are not co-terminus. It would thus appear that the makers of the Constitution had altogether left out the consideration of juristic persons when they enacted Part II of the Constitution relating to citizens and made a clear distinction between 'persons' and 'citizen' in Part III of the Constitution. Part III, which proclaims fundamental rights was very accurately drafted, delimiting those rights like freedom of speech and expression, the right to assemble peacefully, the right to practice a profession, etc., as belonging to citizens only and those more general rights like the right to equality before the law, as belonging to all persons. Corporation may have nationality in accordance with the country of their incorporation; but that does not necessarily confer citizenship on them. There is also no doubt that Part II of the Constitution when dealing with citizenship refers to natural persons only. This is further made absolutely clear by the Citizenship Act which confines citizenship to natural persons only.

A company is also not allowed to lay claim to fundamental rights on the basis of its being an aggregation of citizens. Once a company or a corporation is formed, the business of the company or corporation is not the business of the citizens but that of the company or corporation formed as an incorporated body, and the rights of the incorporated body must be judged on that footing and cannot be judged on the assumption that they are the rights attributable to the business of individual citizens - *Telco Ltd.* v. *State of Bihar* [1964] 34 Comp. Cas. 458 (SC).

It should, however, be noted that certain fundamental rights enshrined in the Constitution are for protection of any person, *for example,* right to equality, etc. (Article 14) are available to a company. In *Chiranjilal Chaudhari* v. *Union of India* [1951] 21 Comp. Cas. 33, the Supreme Court held that the fundamental rights guaranteed by the Constitution are available not merely to individual citizens but to corporate bodies as well except where the language of the provision or the nature of the right compels the inference that they are applicable only to natural persons.

Similarly in *Bennet Coleman Co.* v. *Union of India* [1972] S.C.C. 788, 806, the Supreme Court extended the rule by stating "it is now clear that the fundamental rights of shareholders as citizens are not lost when they associate to form the company. When their fundamental rights as shareholders are impaired by State action, their rights as shareholders are protected. The reason is that the shareholders' rights are equally and necessarily affected if the rights of the company are affected.

## Test your knowledge

**[QUESTIONS HAVE BEEN SELECTED FROM PAST EXAMINATIONS OF C.A. (INTER)/PE-II/IPC/FINAL, C.S. (INTER)/FINAL, ICWA (INTER)]**

**1.** Explain the meaning of 'company'.

**2.** Enumerate the advantages that a business organisation enjoys through incorporation under the Companies Act, 2013.

**3.** "The fundamental attribute of corporate personality is that company is a legal entity distinct from the members". Elucidate the statement.

**4.** "The term body corporate connotes a wider meaning than the term company". Explain.

**5.** State the facts of the case of *Solomon* v. *Solomon & Co. Ltd.* and explain the principles laid down therein.

**6.** "A limited liability company is not capable of becoming a partner in a firm". Examine this statement.

**6A.** Common seal of a company will have to be affixed on all the letters and documents of the company. Comment.

**7.** "The 'company' under the Companies Act, 2013 is an artificial person in the eyes of law but not a citizen of the country." Comment.

**8.** Explain the concept of 'corporate veil' and state the circumstances when it can be lifted. Refer to relevant decided cases and provisions of the Companies Act, 2013 in this regard.

**9.** Examine the following statement :

"The liability of members in a limited company may be unlimited".

**10.** The term 'body corporate' connotes a wider meaning than the term 'company'.

**11.** (*i*) State the minimum and maximum number of members that a company may have.

(*ii*) What will be the consequences if such number of members fall below the statutory minimum limit ?

**12.** As a corporate body, the company is entitled to own and hold property in its own name. Comment.

**13.** The situation of the Registered office of a company determines its domicile.

### PRACTICAL PROBLEM

**1.** Directors of a public limited company accepted a bill of exchange on behalf of a company. But the word 'limited' was omitted from the name of the company at the time of acceptance. Who can be held liable for the payment of the bill ?

**Hints :** Directors may be held personally liable, if the company refuses to pay. Liability of directors is in the nature of surety's liability.